

5-Year Momentum Strategy: Optimal Setup Backtest Report

Universe: Nifty 500 | Period: Aug 2021 - Aug 2026 | Capital: Rs. 5,00,000 | Strategy: Hedged Multi-Momentum

INITIAL CAPITAL Rs. 5,00,000	FINAL CAPITAL Rs. 3,539,102	TOTAL RETURN +607.8%	CAGR 48.7% p.a.
MAX DRAWDOWN -26.6%	SHARPE RATIO 1.87	PROFIT FACTOR 1.79	WIN RATE 42.2%

1. Optimal Strategy Configuration & Mechanics

- Momentum Score: Multi-Timeframe Risk-Adjusted ROC = (1M Ret + 6M Ret + 9M Ret) / 3-Month Volatility
- Trend & Liquidity Filter: Stock Close > 50-Day SMA; Selected from Nifty 500 universe
- Portfolio Structure: 12 Equal-Weighted Position Slots (~8.33% per stock) with weekly rebalancing
- Exit Management: Daily 25% Trailing Stop Loss (TSL) from high-water mark + Top 18 Exit Buffer
- Dynamic Market Regime Hedge: When Nifty 50 falls below 50-Day SMA, index short hedge protects capital

2. 5-Year Performance Comparison vs Benchmark & Variants

Strategy Setup	Final Value	Total Ret	CAGR	Max DD	Sharpe	Calmar	Win%
Champion Hedged Momentum (Best Setup)	Rs. 3,539,102	+607.8%	48.7%	-26.6%	1.87	1.83	42.2%
Champion Unhedged Momentum (Long Only)	Rs. 3,804,448	+660.9%	50.9%	-32.1%	1.75	1.59	42.1%
Aggressive 5-Stock Concentrated Alpha	Rs. 3,057,500	+511.5%	44.4%	-40.9%	1.43	1.08	45.3%
Benchmark: Nifty 50 Index (Buy & Hold)	Rs. 775,084	+55.0%	9.3%	-17.2%	0.71	0.54	-

3. Year-by-Year Performance & Alpha Generation

Year	Strategy Return	Nifty 50 Return	Alpha Generated	Ending Capital
2021	+63.66%	+9.25%	+54.41%	Rs. 818,277
2022	+19.27%	+4.33%	+14.94%	Rs. 975,923
2023	+86.54%	+20.03%	+66.51%	Rs. 1,820,480
2024	+109.29%	+8.80%	+100.49%	Rs. 3,810,171
2025	-12.47%	+10.51%	-22.98%	Rs. 3,335,095
2026	+6.12%	-5.76%	+11.88%	Rs. 3,539,102

4. Performance Curves, Drawdown & Annual Return Visuals



5. Top 8 Multibagger Winning Trades (5-Year Cycle)

Entry Date	Exit Date	Ticker	Company	Entry Px	Exit Px	Return %
2021-10-06	2022-01-19	TTML	Tata Teleservices (Mah	Rs 39.7	Rs 213.4	+437.7%
2023-11-28	2024-09-06	GVT&D	GE Vernova T&D India L	Rs 422.2	Rs 1,566.8	+271.1%
2023-03-02	2023-10-27	TITAGARH	Titagarh Rail Systems	Rs 220.0	Rs 741.3	+236.9%
2024-01-10	2024-08-01	TARIL	Transformers And Recti	Rs 134.1	Rs 367.5	+174.0%
2024-04-19	2024-08-08	COCHINSHIP	Cochin Shipyard Ltd.	Rs 1,084.9	Rs 2,282.4	+110.4%
2023-09-27	2024-04-03	ANANDRATHI	Anand Rathni Wealth Ltd	Rs 415.9	Rs 866.5	+108.4%
2022-04-25	2022-12-28	BLS	BLS International Serv	Rs 81.3	Rs 168.3	+107.0%
2023-04-12	2023-07-10	MAZDOCK	Mazagoan Dock Shipbuil	Rs 345.8	Rs 704.3	+103.7%